

existence of” ’ such an agreement. [Citation.] Instead, the causes of action ... must be ‘ “intimately founded in and intertwined” with the underlying contract obligations.’ [Citation.] Indeed, there must be ‘actual reliance on the terms of the agreement’ [citation], and the causes of action must premise liability on ‘duties imposed by the agreement” itself [citation].” (*Ballesteros v. Ford Motor Co.* (2025) 109 Cal.App.5th 1196, 1207-1208.)

Plaintiff has alleged three causes of action in this case against Defendant for (1) violation of the Song-Beverly Act – breach of express warranty, 2) violation of the Song-Beverly Act – breach of implied warranty, 3) violation of Business and Professions Code § 17200. The first two claims allege various violations of the Song-Beverly Act, which imposes certain statutory obligations on manufacturers who make express warranties. The third cause of action alleges Defendant committed unfair, unlawful, and fraudulent conduct in violation of California’s Unfair Competition Law.

“Manufacturers may ... make express warranties, which trigger various statutory provisions covering notice and repair or replacement of nonconforming goods. (See Civ. Code, § 1793 et seq.)” (*Ford Motor Warranty Cases, supra*, 17 Cal.5th at pp. 1133-1134.) These obligations are not terms of the warranties themselves but “are imposed by statute.” (*Ibid.*) Plaintiff’s first cause of action is based on defendant’s violations of these statutory obligations—i.e., the failure to promptly provide restitution—rather than a term of the warranty itself. (Civ. Code, § 1793.2, subs. (a)(3), (b), (d); see Complaint, ¶¶ 9-21.) The second cause of action arises from a breach of the implied warranty of merchantability, which “arises by operation of law.” (*Ford Motor Warranty Cases*, at p. 1134; see Complaint, ¶¶ 23-30.) None of these claims “premise liability on ‘duties imposed by the agreement’ itself....” (*Ballesteros v. Ford Motor Co., supra*, 109 Cal.App.5th at pp. 1207-1208.) Therefore, even if the warranty was a “contract” in the traditional sense (which again, Defendant has not shown), equitable estoppel does not apply because plaintiff’s claims do not rely on the substantive terms of the warranty itself.

Accordingly, the motion is denied to the extent it is based on the arbitration agreement in the Owner’s Handbook.

The Connected Services Agreement (CSA)

Defendant also seeks to compel arbitration pursuant to the CSA, which it contends is broad enough to cover plaintiff’s claims in this action.

Defendant has met its burden of demonstrating the existence of the arbitration agreement in the CSA but has failed to show its scope covers plaintiff's Song-Beverly claims.

First, with respect to the existence of the arbitration agreement in the CSA—as noted above, state contract law governs the rights of parties to enforce an arbitration agreement. To resolve this inquiry, the court applies a three-step burden shifting process. (See *Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165 (*Gamboa*); see also *Garcia v. Stoneledge Furniture LLC* (2024) 102 Cal.App.5th 41, 51 [applying three-step burden shifting process, noting “[e]ven when an agreement provides that it is governed by the FAA, courts must first apply state law principles in determining whether the parties entered into an agreement to arbitrate”].)

On the first step, “the moving party bears the burden of producing ‘prima facie evidence of a written agreement to arbitrate the controversy.’ [Citation.]” (*Gamboa, supra*, 72 Cal.App.5th at p. 165.) To meet this burden, the moving party can “ ‘attach[] to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature.’ [Citation.] Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion. [Citations.]” (*Ibid.*; accord, *Iyere, supra*, 87 Cal.App.5th at p. 755.) At this step, the movant need not follow the normal procedures of document authentication. (*Iyere*, at p. 755; *Gamboa*, at p. 165.) On the second step, “[i]f the movant bears its initial burden, the burden shifts to the party opposing arbitration to identify a factual dispute as to the agreement’s existence” through admissible evidence. (*Iyere*, at p. 755; *Gamboa*, at p. 165.) On the third step, “[i]f the opposing party meets its burden of producing evidence, ... the moving party must establish with admissible evidence a valid arbitration agreement between the parties.” (*Gamboa*, at p. 165; *Iyere*, at p. 755.)

Defendant has met its initial burden of producing “prima facie evidence” of the existence of the CSA by setting forth the agreement’s provisions. (See Rao Dec. ¶¶ 2-6, Ex. 2; see also *Iyere, supra*, 87 Cal.App.5th at p. 755; *Gamboa, supra*, 72 Cal.App.5th at p. 165.) Plaintiff has not presented any evidence disputing the existence of the CSA. As such, the burden-shifting process stops here, and defendant need not produce any further evidence to authenticate the document. (See *Ramirez v. Golden Queen Mining Co., LLC* (2024) 102 Cal.App.5th 821, 837.)